

measure of true investment results for our owners.”

In the 1979 letter he wrote this:

One friendly but sharp-eyed commentator on Berkshire has pointed out that our book value at the end of 1964 would have bought about one-half ounce of gold and, fifteen years later, after we have plowed back all earnings along with much blood, sweat and tears, the book value produced will buy about the same half ounce.

A similar comparison could be drawn with Middle Eastern oil.

The rub has been that government has been exceptionally able in printing money and creating promises, but is unable to print gold or create oil.

Keeping up with inflation was a triumph. Most American businesses chewed up capital and left owners with less purchasing power than they started with.

In 1981, Buffett pointed out that tax-exempt bonds paid 14 percent.

And that 14 percent went right into the investor’s pocket. American business also earned 14 percent that year. But that did not go directly into the investor’s pocket. Even if a business earning 14 percent paid out all of its earnings in dividends, taxes would reduce your return below inflation.

How can you value such a business in such an environment?

Buffett uses the analogy of a bond. Let’s say you had a tax-exempt bond issued in prior years that paid you 7 percent. Such a bond would be worth 50 percent of its par value in an environment where tax-exempt bonds pay 14 percent.

And so it is with stocks.

“Thus,” Buffett wrote, “*with interest rates on passive investments at late 1981 levels*, a typical American business is no longer worth one hundred cents on the dollar to owners who are individuals.” (italics in the original)

The year 1982 was the last year of that kind of inflation, which diminished thereafter. No wonder it proved to be such a great bottom in the stock market. As rates fell, businesses became more and more valuable.